period, to be made available in annual installments of £40 million each, for the two years ended on June 30, 1950, and June 30, 1951. No transfer was made for 1948–49 in view of the balance already available in Account No. 1. The arrangement was to be worked flexibly with the British government agreeing to make advance transfers in case India found she was running short of foreign exchange (i.e. if the balance in Account No. 1 fell below £30 million). India was to pay a sum of £100 million in full and final settlement of the cost of military stores. She also agreed to pay £147.6 million and £20.5 million for the Central and Provincial pensions, respectively, in return for which she would receive from the UK over the next sixty years tapering amounts for paying the pensions as they fell due.[21]

A year later, Dr John Matthai who had succeeded Chetty as Finance Minister, held discussions with the British government in London. He was accompanied by Deshmukh who was to relinquish charge of the post of Governor in June but acceded to Matthai's request to accompany him as his adviser. As a result of the negotiations, an additional £81 million was made available for the year 1948–49 for which there had been no provision in the earlier agreement, and the annual releases for the years 1949–50 and 1950–51 were raised to £50 million. The arrangement of keeping £30 million in Account No. 1 was to continue. Insofar as convertibility was concerned, the quantitative restrictions on the right to draw dollars was removed but India agreed to keep her dollar imports during the twelve months ending in June 1950 down to 75 percent of the imports during the calendar year 1948. This was ultimately removed in September 1950.[22]

The last series of the negotiations covered a period of six years from July 1, 1951, on the expiry of which the No. 1 and No. 2 Accounts were to be amalgamated. Discussions were held in this regard between Deshmukh, who had become the Finance Minister, and the Chancellor of the Exchequer towards the close of 1950, and a broad agreement was reached on the size of the annual releases. It provided for an immediate transfer of £310 million from account No. 2 to Account No. 1 to be held by the RBI as a currency reserve. The agreement also permitted an annual withdrawal of £35 million for each of the six years including the flexibility of carrying forward undrawn releases forward to later periods and limited advance transfers.[23]